



Toast, Inc.

NYSE : TOST \$16.71B mkt cap · 582M sh · \$1.353B cash, zero debt · Net cash +\$1.35B (\$1.353B cash, no debt); ~582M shares; SBC ~11% of recurring gross profit is the dilution to watch; Revenue \$6.15B FY25 (+23%); GAAP op margin inflected to 4.7% (21% in Q1'26); FCF ~\$0.6B; net income \$342M (vs \$19M FY24); ~\$25, down ~29% YTD / ~40% TTM, near the 52-week low (\$22.26-\$49.66)

· Mature- Company DCF

\$28.71

THE CENTRAL QUESTION

Did Toast's ~40% de-rate near the lows misprice a proven operating-leverage inflection — or is it priced for location growth and a payments take-rate that competition compresses?

Toast trades at ~\$14.4B (~\$24.82, down ~40% TTM, near the 52-week low) — ~2.1x EV/sales on \$6.15B revenue growing ~23%, net cash, with a proven margin inflection (GAAP op margin -7% → 0.3% → 4.7%, and 21% last quarter). The bull is durable ~20% location growth (171k of 875k+ US restaurants) plus attach (Capital, marketing) lifting ARPU and take rate; the bear is payments take-rate compression and SMB cyclicalities against Block/Square, Olo and Shift4. The modal case lands +24%, so the de-rate looks like it overshot a real inflection.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$31.14 expected fair value today  
+8.5% vs spot \$28.71

FORWARD COMPOUNDED VALUE

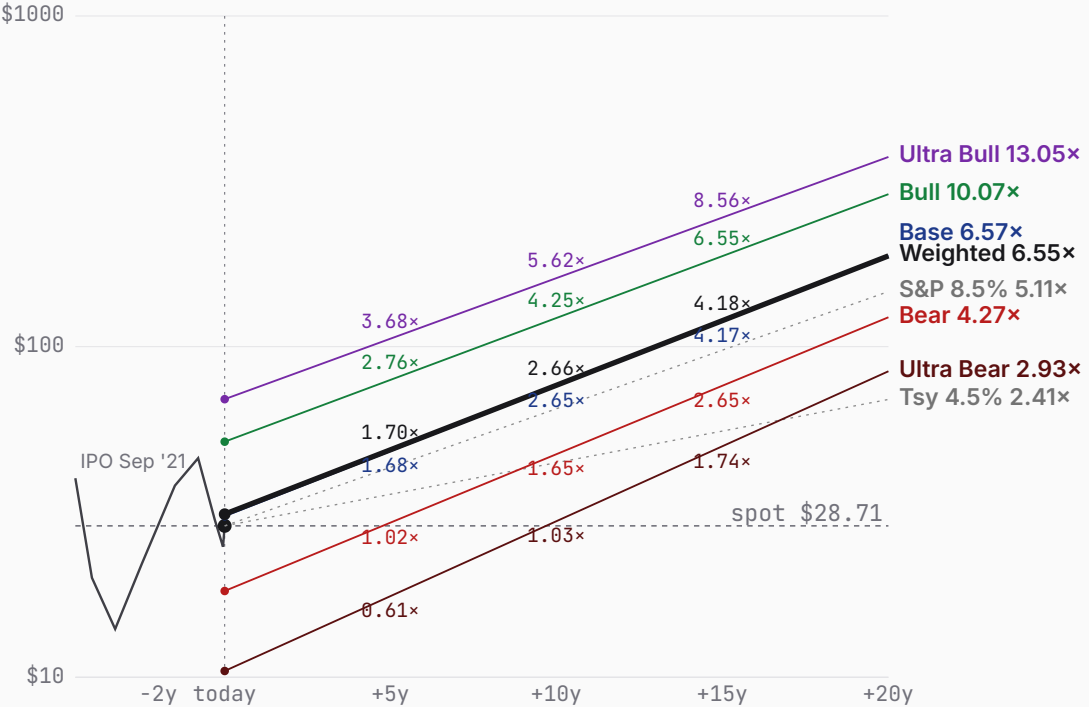
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$48.78    | \$76.45    | \$119.90   | \$188.16   |
| 1.70x spot | 2.66x spot | 4.18x spot | 6.55x spot |

WEIGHTING RATIONALE

- Ultra Bear 14% Take-rate compresses, growth stalls; ~\$10 (-58%).
- Bear 27% Locations grow but margins inflect slowly; ~\$18 (-27%).
- Base 34% Runway + leverage compound to ~15%; ~\$31 (+24%).
- Bull 17% Adds + take-rate + attach all compound; ~\$52 (+108%).
- Ultra Bull 8% Restaurant OS, platform FCF machine; ~\$69 (+180%).

Bull (17%) + Ultra Bull (8%) together contribute \$14.32 — 46% of the \$31.14 expected value despite 25% combined probability. Today's spot (\$28.71) sits 8% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



|                                      |                |                                         |                |                                     |               |                                         |                |                                      |                 |
|--------------------------------------|----------------|-----------------------------------------|----------------|-------------------------------------|---------------|-----------------------------------------|----------------|--------------------------------------|-----------------|
| ULTRA BEAR                           | \$10.45        | BEAR                                    | \$18.24        | BASE                                | \$30.70       | BULL                                    | \$51.59        | ULTRA BULL                           | \$69.36         |
|                                      | -63.6% vs spot |                                         | -36.5% vs spot |                                     | +6.9% vs spot |                                         | +79.7% vs spot |                                      | +141.6% vs spot |
| CAGR +4.6% WACC 11.0%                |                | CAGR +8.6% WACC 10.0%                   |                | CAGR +12.8% WACC 9.5%               |               | CAGR +15.7% WACC 9.0%                   |                | CAGR +18.7% WACC 8.8%                |                 |
| CAGR +4.6% Prob 14%                  |                | CAGR +8.6% Prob 27%                     |                | CAGR +12.8% Prob 34%                |               | CAGR +15.7% Prob 17%                    |                | CAGR +18.7% Prob 8%                  |                 |
| Take-rate compresses; growth stalls. |                | Locations grow; margins inflect slowly. |                | Runway + leverage compound to ~15%. |               | Adds + take-rate + attach all compound. |                | Restaurant OS; platform FCF machine. |                 |

PROBABILITY WEIGHTS

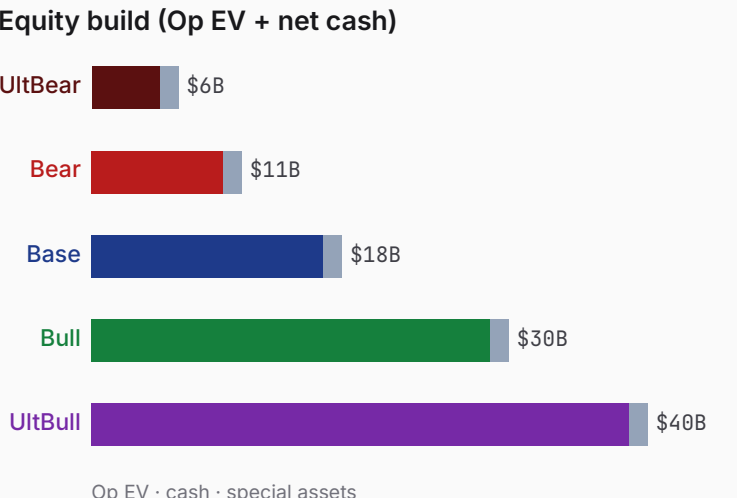
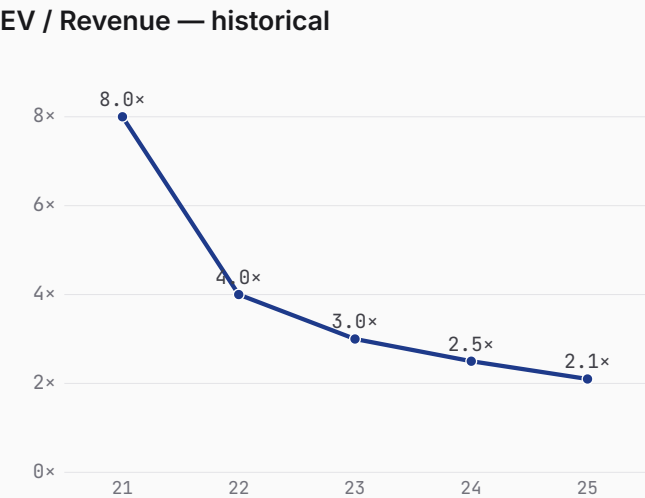
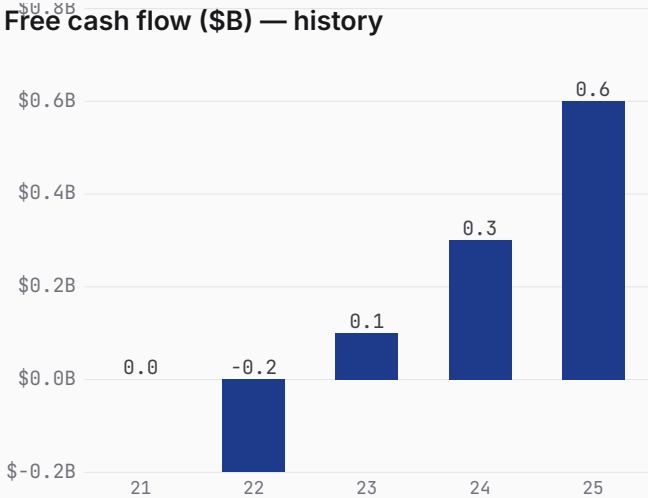
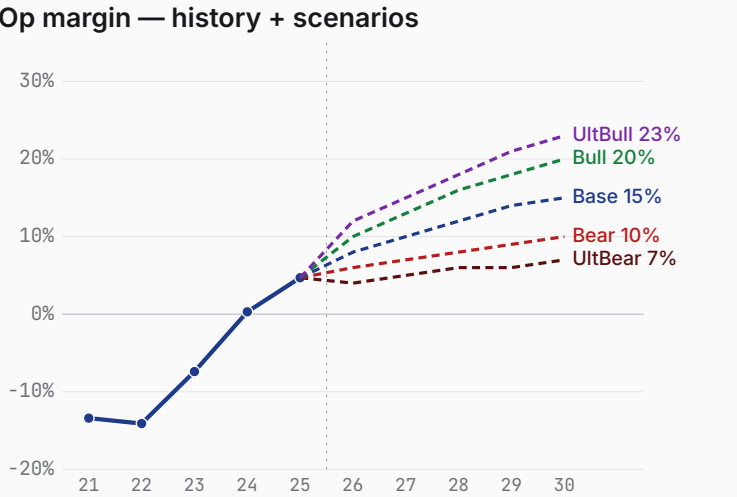
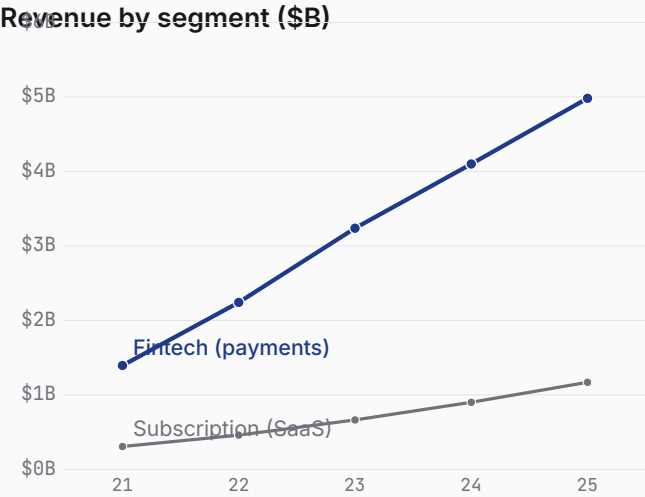
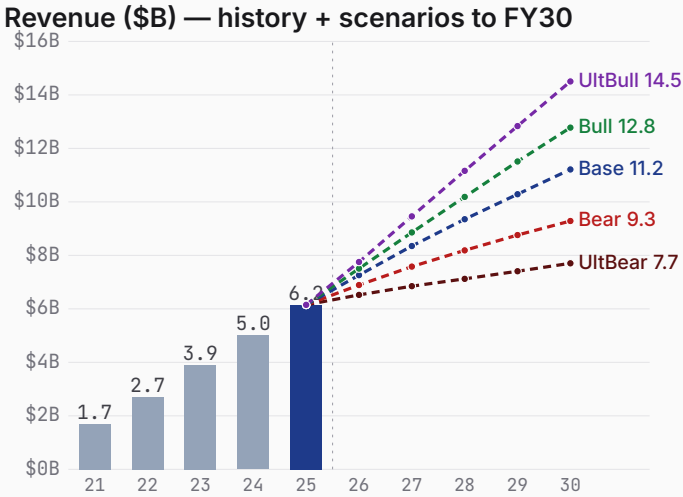
Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected \$31.14 (+8.5% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                 | \$10.45        | BEAR                                                                                                                                                                                                                                                                                                            | \$18.24        | BASE                                                                                                                                                                                                                                                                                                                    | \$30.70       | BULL                                                                                                                                                                                                                                                                                                                                                                            | \$51.59        | ULTRA BULL                                                                                                                                                                                                                                                                                                                                                                               | \$69.36         |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
|                                                                                                                                                                                                                                                                                                                            | -63.6% vs spot |                                                                                                                                                                                                                                                                                                                 | -36.5% vs spot |                                                                                                                                                                                                                                                                                                                         | +6.9% vs spot |                                                                                                                                                                                                                                                                                                                                                                                 | +79.7% vs spot |                                                                                                                                                                                                                                                                                                                                                                                          | +141.6% vs spot |
| Probability 14%                                                                                                                                                                                                                                                                                                            |                | Probability 27%                                                                                                                                                                                                                                                                                                 |                | Probability 34%                                                                                                                                                                                                                                                                                                         |               | Probability 17%                                                                                                                                                                                                                                                                                                                                                                 |                | Probability 8%                                                                                                                                                                                                                                                                                                                                                                           |                 |
| Take-rate compresses; growth stalls.                                                                                                                                                                                                                                                                                       |                | Locations grow; margins inflect slowly.                                                                                                                                                                                                                                                                         |                | Runway + leverage compound to ~15%.                                                                                                                                                                                                                                                                                     |               | Adds + take-rate + attach all compound.                                                                                                                                                                                                                                                                                                                                         |                | Restaurant OS; platform FCF machine.                                                                                                                                                                                                                                                                                                                                                     |                 |
| WHY 14%                                                                                                                                                                                                                                                                                                                    |                | WHY 27%                                                                                                                                                                                                                                                                                                         |                | WHY 34%                                                                                                                                                                                                                                                                                                                 |               | WHY 17%                                                                                                                                                                                                                                                                                                                                                                         |                | WHY 8%                                                                                                                                                                                                                                                                                                                                                                                   |                 |
| The genuine bear: payments is ~80% of revenue and the take rate is the contested battleground (Block/Square, Clover, Shift4), restaurants are cyclical SMBs, and the ~37x P/E left little safety margin before the de-rate. 14% on take-rate compression plus a soft cycle.                                                |                | Share gains continue but competition caps the take rate and the cycle softens SMB demand, so margins improve modestly rather than re-rating. 27% as the plausible 'grows but converts slowly' path.                                                                                                             |                | Requires the location runway to continue and the demonstrated operating leverage to keep flowing through - consistent with the ~7%→21% margin trajectory and the attach flywheel, not a step-change. 34% as the central outcome.                                                                                        |               | Toast's switching-cost Power (the embedded POS/payments operating system) plus the attach flywheel and a long location runway make a compounding-take-rate outcome credible. ~17% weight on adds and take rate compounding together.                                                                                                                                            |                | Everything works - locations AND take rate AND attach AND international AND a data/network flywheel, the embedded-OS outcome. ~8%, the long-duration tail.                                                                                                                                                                                                                               |                 |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                               |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                    |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                            |               | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                    |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                             |                 |
| Competition does its worst: Block/Square and Clover undercut payments pricing, the take rate on \$51B+ of GPV compresses, and SMB churn rises through a restaurant-spending downturn. Location adds decelerate toward mid-single-digit, the margin inflection stalls near today's level, and revenue compounds only ~4-5%. |                | Locations keep growing but adds slow to ~8-10% as the easy US share is taken and enterprise/international ramps gradually; the take rate holds but doesn't expand, and operating margin grinds up from the mid-single digits rather than stepping. Revenue compounds ~8% to ~\$9B at a still-modest FCF margin. |                | The modal path: locations keep compounding low-double-digit toward a long US runway (171k of 875k+) with enterprise/international adding, the take rate holds as attach (Capital, marketing, ToastIQ) lifts ARPU, and operating leverage carries GAAP op margin from ~5% toward ~15%. Revenue compounds ~13% to ~\$11B. |               | Locations, take rate and attach compound together: ~20% location growth holds as enterprise/international scale (Q1 enterprise bookings already exceeded the prior-year customer count), Toast Capital and marketing/ads lift the take rate and ARPU, and operating margin inflects toward ~20% as SaaS (81% gross margin) carries the mix. Revenue compounds ~15% to ~\$12.5B. |                | The full second act: Toast becomes the default restaurant operating system, sustaining ~20%+ location growth deep into the US TAM and internationally, fintech attach (Capital, marketing, data/ToastIQ) compounds the take rate, and a nascent network/data effect widens the moat as operating margin marches toward ~23%. Revenue compounds ~18% to ~\$14B and free cash flow scales. |                 |
| A payments-heavy platform whose take rate erodes while growth fades earns a low EV/sales (~1.0-1.5x) and a ~13x terminal FCF multiple → DCF ~\$10 (-58%). Net cash sets a floor; a compressed, slowing fintech book can't support more.                                                                                    |                | DCF ~\$18 (-27%) - a real franchise that grows but whose cash conversion lags its top line is worth below today's price; the market's discount is warranted if the inflection plateaus.                                                                                                                         |                | DCF ~\$31 (+24%) - the proven inflection continues at a moderating pace and the de-rated entry re-rates with the fundamentals; the modal case clears today's price, so the crash looks like it overshot a real inflection rather than correcting an excess.                                                             |               | DCF ~\$52 (+108%) - if the location runway, take rate and attach all compound, the de-rated entry re-rates hard with the fundamentals; this is the core of the bull.                                                                                                                                                                                                            |                | DCF ~\$69 (+180%) - the platform earns a software-and-payments compounder multiple; ~8% probability, the asymmetric upside the depressed entry is buying.                                                                                                                                                                                                                                |                 |

Toast, Inc. business snapshot

Bear \$18.24 Base \$30.70 Bull \$51.59

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results



Sources: SEC XBRL company facts (CIK 1650164), Toast Q1 FY2026 release (ARR \$2.2B/+26%, GPV \$51.3B/+22%, 171,000 live locations/+22%, GAAP op margin ~21%, SaaS gross margin 81%, fintech/payments ~80%+ of revenue). FCF margin is modeled on TOTAL (payments-heavy) revenue so it reads low (~6-11%) - read ex-SBC owner FCF on recurring gross profit. Gordon terminal at scenario WACC. EV/sales & EV/FCF vs Block/Square, Olo, Shift4, Fiserv (Clover).

Toast, Inc. 7 Powers · the moat, scored

Bear \$18.24 Base \$30.70 Bull \$51.59

**Arena.** Restaurant commerce platforms (POS + payments + software) - Toast (171k live locations, \$51B+ GPV, vertically-integrated hardware/SaaS/payments) vs Block/Square, Fiserv (Clover), Shift4, Olo, plus legacy POS (NCR/Aloha, Lightspeed); auditing an embedded switching-cost Power against payments take-rate competition.

**POWER AUDIT**  
dominant-power durability: high

POWER AUDIT · 7 POWERS

|                                                   |                                                                                                                                                                                                                            |
|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b><br>■■■                     | Real and growing: \$51B+ GPV and 171k locations give payments/sourcing/R&D leverage that funded the margin inflection, but Block/Fiserv process far more volume overall.                                                   |
| <b>Network Economies</b><br>■■■                   | Nascent - data/ToastIQ across the restaurant base and supplier/marketplace links could compound, but it is early and not yet a durable network effect.                                                                     |
| <b>Counter-Positioning</b><br>■■■                 | The vertically-integrated restaurant-specific stack (hardware + SaaS + payments) is awkward for horizontal processors (Block) and pure-SaaS (Olo) to copy without cannibalizing their model.                               |
| <b>Switching Costs</b> · thesis leans here<br>■■■ | The dominant Power: once Toast is the restaurant's POS, payments, payroll, online-ordering and capital operating system, ripping it out mid-service is costly and risky - high retention, the moat the take rate rides on. |
| <b>Branding</b><br>■■■                            | A strong restaurant-category brand and reference base, but brand alone doesn't set the payments take rate.                                                                                                                 |
| <b>Cornered Resource</b><br>■■■                   | The installed base and restaurant operating data are valuable, but not a truly cornered resource.                                                                                                                          |
| <b>Process Power</b><br>■■■                       | Demonstrated operating-leverage execution (-7% → 21% GAAP op margin, adj EBITDA doubled) and product velocity (Capital, marketing, ToastIQ); improving, not yet a structural process moat.                                 |

COMPETITIVE READ

Toast's switching-cost Power is genuine and dominant - once it is the restaurant's POS, payments, payroll and ordering operating system, ripping it out mid-service is costly, which underpins high retention and the take rate the model rides on, supported by real scale (171k locations, \$51B+ GPV). The Audit: switching\_costs is durable (high), scale\_economies funded a demonstrated margin inflection (-7% → 21% GAAP op margin), and a network/data leg (ToastIQ) is nascent; the live threat is payments take-rate competition from Block/Square, Clover and Shift4 against an ~80%-payments revenue base. The ~40% TTM de-rate met that proven inflection, and the modal DCF lands +24% - the distribution says the sell-off overshot a real operating-leverage story, gated on the take rate holding as Toast scales.

PEER SET

|                                                                                                                                         |                                 |
|-----------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|
| <b>Block / Square</b><br>Horizontal payments + Square for Restaurants; the primary payments take-rate competitor and pricing pressure.  | 10% gr · 10% mgn · ~3x EV/sales |
| <b>Fiserv (Clover)</b><br>Scaled processor with a fast-growing restaurant/SMB POS; the volume-and-distribution threat to the take rate. | 7% gr · 30% mgn · ~14x P/E      |
| <b>Olo</b><br>Restaurant ordering/digital SaaS; an attach/adjacency competitor and partner, asset-light vs Toast's payments model.      | 18% gr · 10% mgn · ~5x EV/sales |
| <b>Shift4</b><br>Payments-led restaurant/hospitality processor; a direct take-rate rival expanding in the vertical.                     | 25% gr · 20% mgn · ~18x P/E     |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                           |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Switching Costs</b> · Block/Square, Clover, Shift4 underpricing payments<br><b>falsifier:</b> Payments take rate on GPV compresses as competitors undercut, eroding the ~80% fintech book even with retention holding. |
| <b>Scale Economies</b> · Fiserv/Block volume + distribution<br><b>falsifier:</b> Location adds decelerate below ~10% as scaled processors win SMB share through bundling and price.                                       |
| <b>Network Economies</b> · Olo / data-platform entrants<br><b>falsifier:</b> ToastIQ/data and the attach flywheel fail to compound, leaving Toast a price-competed processor rather than an operating system.             |

Toast, Inc. show your work

Bear \$18.24 Base \$30.70 Bull \$51.59 · Weighted \$31.14 (+8.5%)

| ULTRA BEAR                                |         |         |         |        | \$10.45 | BEAR                                      |         |          |       |         | \$18.24  | BASE                                      |          |        |         |          | \$30.70  | BULL                                      |       |          |          |          | \$51.59  | ULTRA BULL                                |          |          |          |          | \$69.36  |
|-------------------------------------------|---------|---------|---------|--------|---------|-------------------------------------------|---------|----------|-------|---------|----------|-------------------------------------------|----------|--------|---------|----------|----------|-------------------------------------------|-------|----------|----------|----------|----------|-------------------------------------------|----------|----------|----------|----------|----------|
| ASSUMPTIONS                               |         |         |         |        |         | ASSUMPTIONS                               |         |          |       |         |          | ASSUMPTIONS                               |          |        |         |          |          | ASSUMPTIONS                               |       |          |          |          |          | ASSUMPTIONS                               |          |          |          |          |          |
| 5y revenue CAGR (%)                       |         |         |         |        | +4.6    | 5y revenue CAGR (%)                       |         |          |       |         | +8.6     | 5y revenue CAGR (%)                       |          |        |         |          | +12.8    | 5y revenue CAGR (%)                       |       |          |          |          | +15.7    | 5y revenue CAGR (%)                       |          |          |          |          | +18.7    |
| Year-5 op margin (%)                      |         |         |         |        | 7.0     | Year-5 op margin (%)                      |         |          |       |         | 10.0     | Year-5 op margin (%)                      |          |        |         |          | 15.0     | Year-5 op margin (%)                      |       |          |          |          | 20.0     | Year-5 op margin (%)                      |          |          |          |          | 23.0     |
| WACC (%)                                  |         |         |         |        | 11.0    | WACC (%)                                  |         |          |       |         | 10.0     | WACC (%)                                  |          |        |         |          | 9.5      | WACC (%)                                  |       |          |          |          | 9.0      | WACC (%)                                  |          |          |          |          | 8.8      |
| Terminal growth (%)                       |         |         |         |        | 3.0     | Terminal growth (%)                       |         |          |       |         | 3.5      | Terminal growth (%)                       |          |        |         |          | 3.5      | Terminal growth (%)                       |       |          |          |          | 4.0      | Terminal growth (%)                       |          |          |          |          | 4.0      |
| 5y revenue CAGR (%)                       |         |         |         |        | +4.6    | 5y revenue CAGR (%)                       |         |          |       |         | +8.6     | 5y revenue CAGR (%)                       |          |        |         |          | +12.8    | 5y revenue CAGR (%)                       |       |          |          |          | +15.7    | 5y revenue CAGR (%)                       |          |          |          |          | +18.7    |
| Starting revenue (\$B)                    |         |         |         |        | 6.15    | Starting revenue (\$B)                    |         |          |       |         | 6.15     | Starting revenue (\$B)                    |          |        |         |          | 6.15     | Starting revenue (\$B)                    |       |          |          |          | 6.15     | Starting revenue (\$B)                    |          |          |          |          | 6.15     |
| Scenario probability (%)                  |         |         |         |        | 14      | Scenario probability (%)                  |         |          |       |         | 27       | Scenario probability (%)                  |          |        |         |          | 34       | Scenario probability (%)                  |       |          |          |          | 17       | Scenario probability (%)                  |          |          |          |          | 8        |
| 5-YEAR DCF · \$B                          |         |         |         |        |         | 5-YEAR DCF · \$B                          |         |          |       |         |          | 5-YEAR DCF · \$B                          |          |        |         |          |          | 5-YEAR DCF · \$B                          |       |          |          |          |          | 5-YEAR DCF · \$B                          |          |          |          |          |          |
| FY                                        | Rev     | Margin  | FCF     | PV FCF |         | FY                                        | Rev     | Margin   | FCF   | PV FCF  |          | FY                                        | Rev      | Margin | FCF     | PV FCF   |          | FY                                        | Rev   | Margin   | FCF      | PV FCF   |          | FY                                        | Rev      | Margin   | FCF      | PV FCF   |          |
| FY26                                      | 6.52    | +4%     | +0.26   | +0.23  |         | FY26                                      | 6.89    | +6%      | +0.34 | +0.31   |          | FY26                                      | 7.26     | +8%    | +0.44   | +0.40    |          | FY26                                      | 7.51  | +10%     | +0.60    | +0.55    |          | FY26                                      | 7.75     | +12%     | +0.70    | +0.64    |          |
| FY27                                      | 6.85    | +5%     | +0.34   | +0.28  |         | FY27                                      | 7.58    | +7%      | +0.46 | +0.38   |          | FY27                                      | 8.35     | +10%   | +0.67   | +0.56    |          | FY27                                      | 8.86  | +13%     | +0.89    | +0.75    |          | FY27                                      | 9.46     | +15%     | +1.04    | +0.88    |          |
| FY28                                      | 7.12    | +6%     | +0.36   | +0.26  |         | FY28                                      | 8.19    | +8%      | +0.57 | +0.43   |          | FY28                                      | 9.35     | +12%   | +0.84   | +0.64    |          | FY28                                      | 10.19 | +16%     | +1.12    | +0.87    |          | FY28                                      | 11.16    | +18%     | +1.45    | +1.13    |          |
| FY29                                      | 7.41    | +6%     | +0.44   | +0.29  |         | FY29                                      | 8.76    | +9%      | +0.70 | +0.48   |          | FY29                                      | 10.29    | +14%   | +1.03   | +0.72    |          | FY29                                      | 11.51 | +18%     | +1.50    | +1.06    |          | FY29                                      | 12.84    | +21%     | +1.93    | +1.37    |          |
| FY30                                      | 7.70    | +7%     | +0.46   | +0.27  |         | FY30                                      | 9.29    | +10%     | +0.74 | +0.46   |          | FY30                                      | 11.21    | +15%   | +1.23   | +0.78    |          | FY30                                      | 12.78 | +20%     | +1.79    | +1.16    |          | FY30                                      | 14.50    | +23%     | +2.32    | +1.52    |          |
| Σ PV explicit FCF                         |         |         |         |        | +1.34   | Σ PV explicit FCF                         |         |          |       |         | +2.06    | Σ PV explicit FCF                         |          |        |         |          | +3.10    | Σ PV explicit FCF                         |       |          |          |          | +4.39    | Σ PV explicit FCF                         |          |          |          |          | +5.54    |
| + PV terminal (g 3.0%)                    |         |         |         |        | 3.53    | + PV terminal (g 3.5%)                    |         |          |       |         | 7.35     | + PV terminal (g 3.5%)                    |          |        |         |          | 13.51    | + PV terminal (g 4.0%)                    |       |          |          |          | 24.18    | + PV terminal (g 4.0%)                    |          |          |          |          | 32.99    |
| EQUITY BUILD · \$B & PER SHARE            |         |         |         |        |         | EQUITY BUILD · \$B & PER SHARE            |         |          |       |         |          | EQUITY BUILD · \$B & PER SHARE            |          |        |         |          |          | EQUITY BUILD · \$B & PER SHARE            |       |          |          |          |          | EQUITY BUILD · \$B & PER SHARE            |          |          |          |          |          |
| Operating EV                              |         |         |         |        | \$4.87B | Operating EV                              |         |          |       |         | \$9.41B  | Operating EV                              |          |        |         |          | \$16.61B | Operating EV                              |       |          |          |          | \$28.57B | Operating EV                              |          |          |          |          | \$38.53B |
| + Cash & investments                      |         |         |         |        | \$1.35B | + Cash & investments                      |         |          |       |         | \$1.35B  | + Cash & investments                      |          |        |         |          | \$1.35B  | + Cash & investments                      |       |          |          |          | \$1.35B  | + Cash & investments                      |          |          |          |          | \$1.35B  |
| = Equity value                            |         |         |         |        | \$6.22B | = Equity value                            |         |          |       |         | \$10.76B | = Equity value                            |          |        |         |          | \$17.96B | = Equity value                            |       |          |          |          | \$29.92B | = Equity value                            |          |          |          |          | \$39.88B |
| FY30 shares (M)                           |         |         |         |        | 595     | FY30 shares (M)                           |         |          |       |         | 590      | FY30 shares (M)                           |          |        |         |          | 585      | FY30 shares (M)                           |       |          |          |          | 580      | FY30 shares (M)                           |          |          |          |          | 575      |
| = Expected per share                      |         |         |         |        | \$10.45 | = Expected per share                      |         |          |       |         | \$18.24  | = Expected per share                      |          |        |         |          | \$30.70  | = Expected per share                      |       |          |          |          | \$51.59  | = Expected per share                      |          |          |          |          | \$69.36  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |       |         |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |        |         |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |          |          |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |          |          |
| +5y                                       | +10y    | +15y    | +20y    |        | +5y     | +10y                                      | +15y    | +20y     |       | +5y     | +10y     | +15y                                      | +20y     |        | +5y     | +10y     | +15y     | +20y                                      |       | +5y      | +10y     | +15y     | +20y     |                                           | +5y      | +10y     | +15y     | +20y     |          |
| \$17.61                                   | \$29.67 | \$50.00 | \$84.25 |        | \$29.38 | \$47.31                                   | \$76.19 | \$122.71 |       | \$48.33 | \$76.08  | \$119.77                                  | \$188.55 |        | \$79.38 | \$122.13 | \$187.92 | \$289.13                                  |       | \$105.74 | \$161.21 | \$245.78 | \$374.70 |                                           | \$105.74 | \$161.21 | \$245.78 | \$374.70 |          |
| 0.61x                                     | 1.03x   | 1.74x   | 2.93x   |        | 1.02x   | 1.65x                                     | 2.65x   | 4.27x    |       | 1.68x   | 2.65x    | 4.17x                                     | 6.57x    |        | 2.76x   | 4.25x    | 6.55x    | 10.07x                                    |       | 3.68x    | 5.62x    | 8.56x    | 13.05x   |                                           | 3.68x    | 5.62x    | 8.56x    | 13.05x   |          |



# Toast, Inc. People · Opportunity · Context · Deal

Bear \$18.24 Base \$30.70 Bull \$51.59

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Aman Narang · founder-led 2 yrs in seat

10% insider ownership MEDIUM key-person risk

**Capital allocation (realized)**  
Founder-led and net cash (~\$1.35B cash + ~\$0.64B securities, no debt). A Class A buyback began in 2024 (~8M shares / ~\$235M to date) and the board added a \$500M authorization in Feb 2026; no dividend. M&A is a consistent small bolt-on pattern (xtraCHEF, Sling, Delphi). SBC is declining (\$287M FY2023 to \$258M FY2024) and buybacks offset issuance, holding net dilution to ~3%/yr.

**Incentive alignment**  
CEO comp is ~96% equity / ~4% salary (Narang FY2024 total ~\$11.3M on a \$400K base) - heavily equity-weighted, low base. Say-on-pay passed at the 2026 meeting. Insider Form 4 activity is routine (10b5-1 / sell-to-cover on RSU vesting plus an estate-planning gift), not discretionary cash-outs.

GOVERNANCE FLAGS

- dual-class: Class B carries 10 votes/share; the officer-and-director group holds ~40.6% of total voting power on ~10% economic ownership (a sub-majority control block)
- mitigant: the dual-class has a defined sunset - Class B converts to Class A on the earlier of 24 Sep 2028 or a two-thirds Class B vote, and 1:1 on transfer
- separate independent Chair / Lead Independent Director (Mark Hawkins), distinct from the CEO; 9-member board, 7 independent (~78%), with two founder seats (Narang, Fredette) and VC reps (Bessemer, TCV)
- classified / staggered board
- 2023 securities law-firm investigations tied to the \$0.99 online-order fee reversal (no sourced outcome); related-party section not independently verified

PEOPLE READ

Founder-CEO (Narang) with two co-founders still operating (President, CTO), heavily equity-aligned, on a net-cash balance sheet with a disciplined buyback and declining SBC, under a separate independent Chair - a solid founder-led profile. Held at 3 by the 10x super-voting dual-class (sub-majority ~40.6% of votes, though sunseting in 2028), a classified board, and the unresolved 2023 fee-reversal securities investigations.

THE FOUR LEGS

People observable composite · 1–5

**Opportunity**  
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

**Context**  
The 7 Powers analysis (Power Audit)

**Deal**  
Open-market purchase = the deal: entry price vs. the scenario distribution (the +25.5% finding) + position sizing.

Toast, Inc. supporting analysis · disclaimers · glossary

Bear \$18.24 Base \$30.70 Bull \$51.59

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**The de-rate met a proven inflection, not a story.**  
GAAP op margin went -7% → 0.3% → 4.7% and adj EBITDA doubled FY25 - the leverage is real, so the ~40% drop re-priced a real business.
- 2

**Payments is ~80% of revenue, so FCF margin reads low.**  
On TOTAL payments-heavy revenue FCF margin looks ~6-11%; read ex-SBC owner FCF on recurring gross profit - the take rate is the real lever.
- 3

**The take rate is the whole question.**  
Payments competition (Block/Square, Clover, Shift4) is the live threat to the ~80% fintech book; attach lifts take rate as Toast scales.
- 4

**Location runway is long but the easy share thins.**  
171k of 875k+ US restaurants leaves a long runway, but US SMB adds get harder; enterprise/international is the next leg the bull needs.
- 5

**Net cash, p\_fail ~0.**  
\$1.35B cash, no debt, GAAP-profitable (net income \$342M FY25) - no solvency risk; the downside is take-rate/multiple, not survival.

FALSIFICATION TRIGGERS

Bull validation

location adds hold ~20% (enterprise/international ramping) · payments take rate stable-to-up as attach scales (Capital, marketing, ToastIQ) · GAAP op margin sustains the inflection toward the teens · ARR growth stays >=20%

Bear validation

location adds decelerate below ~10% · payments take rate compresses as Block/Clover/Shift4 undercut · GAAP op margin stalls or reverses · SMB churn rises through a restaurant-spending downturn

Reframe needed

if the take rate compresses structurally or location growth falls below ~10% without enterprise/international offsetting, the runway shortens - re-rate the terminal toward a low-growth, price-competed payments processor multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**GPV** — Gross Payment Volume - total payments processed across Toast restaurants (~\$51.3B/quarter, +22%); the base the payments take rate is applied to, and the swing-factor's denominator.

**Take rate** — Fintech (payments) revenue as a fraction of GPV; ~80%+ of total revenue rides on it, so its durability against Block/Square/Clover competition is the central question.

**ARR** — Annualized recurring revenue (~\$2.2B, +26%) - the SaaS subscription book (81% gross margin); the higher-margin leg whose mix-up is the margin-inflection lever.

**Attach** — Add-on products beyond core POS/payments - Toast Capital (lending), marketing/ads, ToastIQ - that lift ARPU and the effective take rate per location.

**FCF margin** — Free cash flow / revenue; modeled on TOTAL payments-heavy revenue so it reads ~6-11% - read ex-SBC owner FCF on recurring gross profit net of ~11% SBC dilution; the mature-DCF swing factor.